**8.	9:00 AM		CASE NUMBER:	C24-02719**
CASE NAME: H. LAYTON VS. FARIDEH ERICKSON
***HEARING ON MOTION IN RE: TO SUBSTITUTE ATTORNEY**
FILED BY: LAYTON, H. F.
****TENTATIVE RULING:****

This unopposed motion will be dropped from calendar as moot because a substitution of attorney was filed January 6, 2026.

**9.	9:00 AM		CASE NUMBER:	C25-00222**
CASE NAME: JEANETTE JOHNSTON VS. RORE MANUFACTURING, INC., FKA RORE MANAGEMENT, INC.
HEARING ON DEMURRER TO: TO THE FIRST, SECOND, FOURTH, FIFTH, SIXTH, AND SEVENTH CAUSES OF ACTION OF PLAINTIFFS' FIRST AMENDED COMPLAINT
FILED BY: RORE MANUFACTURING, INC., FKA RORE MANAGEMENT, INC.
****TENTATIVE RULING:****

Vacated.

**10.	9:00 AM		CASE NUMBER:	C25-00222**
CASE NAME: JEANETTE JOHNSTON VS. RORE MANUFACTURING, INC., FKA RORE MANAGEMENT, INC.
***HEARING ON MOTION IN RE: STRIKE PORTIONS OF PLAINTIFFS' FIRST AMENDED COMPLAINT**
FILED BY: RORE MANUFACTURING, INC., FKA RORE MANAGEMENT, INC.
****TENTATIVE RULING:****

Vacated.

**11.	9:00 AM		CASE NUMBER:	C25-01036**
CASE NAME: DAN CARRILLO VS. CHRISTOPHER BEGG
***HEARING ON MOTION IN RE: CONTEST APPLICATION FOR GOOD FAITH SETTLEMENT FILED BY: BEGG, CHRISTOPHER**
FILED BY:
****TENTATIVE RULING:****

Before the Court is a motion by defendant and cross-complainant CBC General Contractors Inc. to contest an application for good faith settlement determination ("motion") and the application for good faith settlement determination ("Application") filed by plaintiffs Dan Carillo and Emily Elliott, and cross-defendant Blaine Mervin Munsch dba Willow Creek Construction ("Applicants") for a good faith settlement determination. For the reasons set forth, the motion contesting the application for good faith settlement determination is denied in part, and the Application is **granted in part**. Pursuant to Code of Civil Procedure §§ 877 and 877.6, the Court finds the settlement between

Plaintiffs and Willow Creek is a good faith settlement under the standards of *Tech-Bilt*, as set forth below. To the extent the Application seeks a dismissal of CBC's express contractual indemnity cause of action in its cross-complaint against Willow Creek or a determination that CBC's express contractual indemnity cause of action is barred by the Court's good faith settlement determination under Code of Civil Procedure §§ 877 and 877.6, that relief is **denied**, and the Court grants the motion to the extent it asks the Court to exclude CBC's express contractual indemnity claim from any determination or bar based on the Application and the good faith settlement determination.

Background

Plaintiffs Dan Carillo and Emily Elliott allege they entered into a written contract with defendant and cross-defendant CBC General Contractors Inc. to perform a remodel of their residence in Lafayette (the "Project"). They allege three causes of action, including breach of contract based on CBC's failure to complete the construction by the contractual deadline, negligence in the performance of the construction, and alter ego against CBC's principals, defendants Christopher Begg and Karen Begg.

On May 27, 2025, CBC answered and filed a cross-complaint against the Plaintiffs and three subcontractors, Blaine Mervin Munsch dba Willow Creek Construction ("Willow Creek"), Michael Charles Soberanes dba Micor Electric ("Micor"), and Bay Valley Sheet Metal, Inc. CBC's cross-complaint alleged a claim against Plaintiffs for breach of the construction contract, but CBC subsequently dismissed Carillo and Elliott as cross-defendants. CBC's cross-complaint also asserts causes of action against the subcontractors Willow Creek, Micor, and Bay Valley for express contractual indemnity, and equitable indemnity, apportionment of fault and contribution and declaratory relief.

Prior to commencement of this action, in February 2025, Plaintiffs entered into a settlement with Willow Creek pursuant to which Willow Creek agreed to pay Plaintiffs $85,000, among other terms, and in August 2025, Plaintiffs and Willow Creek made an application for good faith settlement determination. CBC filed a timely motion to contest the application for good faith settlement.

Procedures and Standards Governing Good Faith Settlement Determination

There are two alternative procedures under Code of Civil Procedure § 877.6 for obtaining a determination that a settlement is a good faith settlement. Applicants chose the procedure by which they filed an application for a good faith settlement determination without setting a hearing, which the Court may grant unless a motion contesting the good faith settlement is timely made. (Code Civ. Proc. § 877.6(a)(2).) CBC timely filed a motion contesting the Application.

The California Supreme Court in *Tech-Bilt, Inc. v. Woodward-Clyde & Associates, supra,* 38 Cal.3d 488 ("*Tech-Bilt*") listed a series of factors courts should consider in making the determination of good faith under Code of Civil Procedure § 877.6. These factors include "a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants." (*Id.* at 499.) The settlement lacks good faith if the settlement is " 'grossly disproportionate to what a reasonable person at the time of settlement would estimate the settling defendant's liability to be.' [Citation omitted.]" (*Id.* [quoting *Torres v. Union Pacific R.R. Co.* (1984) 157 Cal.App.3d 499, 509].)

That a settlement calls for the settling party to pay less that the party's theoretical proportionate share of the plaintiff's damages does not mean the settlement is made bad faith; a good faith settlement does not require " 'perfect or even nearly perfect apportionment of liability.' [Citation omitted.] All that is necessary is that there be a 'rough approximation' between a settling tortfeasor's offer of settlement and his proportionate liability. [Citation omitted.]" (*North County Contractor's Assn., supra,* 27 Cal.App.4th at 1090-1091.) In assessing the value of the settlement to the settling party and whether the settlement was reached in good faith, "a trial court must examine not only the settling tortfeasor's potential liability to the plaintiff, but also the settling tortfeasor's potential liability to all nonsettling tortfeasors. [Citations omitted.]" (*PacifiCare of California v. Bright Medical Associates, Inc.* (2011) 198 Cal.App.4th 1451, 1465-1466; *TSI Seismic Tenant Space, Inc. v. Superior Court* (2007) 149 Cal.App.4th 159, 166.)

Applicants' Request for Judicial Notice

Applicants ask the Court to take judicial notice of the summons and cross-complaint filed by CBC. They assert the documents show "only two added subcontractors." (Pl. RJN ¶ 1.) The Court can take judicial notice of its records filed in the case, and the unopposed request is **granted** to the extent that the Court takes judicial notice that these documents are filed with the Court, but not Applicants' characterization of the content of the documents. (Evid. Code § 452(d); *StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice of pleadings extends to the fact of the filings but not the truth or interpretation of the content of the filings to the extent reasonably disputable].)

CBC's Reply, Applicants' "Sur Opposition," and Supplemental Briefing

CBC's motion was originally set for hearing on January 9, 2026. On December 30, 2025, CBC filed a reply and declaration by counsel with copies of discovery responses served by Plaintiffs after CBC filed its motion. Applicants' "sur opposition" filed the same date objected to the Court considering what they characterized as "new" evidence presented for the first time with the reply. The Court discussed that CBC's motion raised the significance of the substance of the discovery to the motion and Plaintiffs' delay in providing discovery responses he information based on Plaintiffs' request for an extension of time to respond. (1/9/2026 Min. Order.) Nevertheless, based on Applicants' objection and claim of prejudice, the Court continued the hearing to this date and provided Plaintiffs an opportunity to file a supplemental opposition "addressed to the evidence filed with CBC's reply." (*Id.*) The Court also asked that the supplemental briefing address and clarify "Applicants' position that the Willow Creek settlement resolves construction defects related to 'framing' although the Willow Creek subcontract encompassed both framing and foundation work." (*Id.*)

Applicants filed a supplemental brief and a declaration by counsel attaching a certified copy of Contractors State License Board records regarding CBC and its principal Christopher Begg. Applicants have added new evidence outside the scope of the supplemental briefing requested by the Court which they contend shows CBC, a corporation which was the party and signatory to the construction contract with Plaintiffs dated December 31, 2021, was not licensed as a general contractor until February 3, 2023 when Christopher Begg's sole owner entity license was reassigned to CBC. (Compl. Exh. 1; Suppl. Kelly Decl. Exh. 4.)

Applicants' new supplemental evidence does not respond to the substance of the reply evidence regarding Plaintiffs' itemization of damages and defects, and CBC objects to the evidence as hearsay in its supplemental reply. For the reasons explained below, the Court does not find the licensing information material to the determination of the motion. The Court will address the substance of the supplemental pleadings in the *Tech-Bilt* analysis.

Analysis

The Application and motion contesting the good faith settlement show that Willow Creek was the subcontractor engaged to perform the framing and foundation work on the Project. Under the Willow Creek settlement, Plaintiffs agreed to accept the settlement payment of $85,000 in resolution of any claims they may have had against Willow Creek related to the Project. (App. Exh. A [Stlmt. Agmt. ¶ 1].) The Plaintiffs also agreed to indemnify, defend and hold Willow Creek harmless from any claims of others, including claims by CBC, arising out of the Project, and including claims for express contractual indemnity by CBC against Willow Creek. (App. Exh. A [Stlmt. Agmt. ¶ 2].)

Applicants assert in the Application that "All of the work associated with Willow as a subcontractor are totally resolved and any claims of the Carrillo's as against CBC <u>related to framing</u> are gone; there is a credit to CBC." (App. p. 5, ll. 7-9 [emphasis added].) (*See also* App. p. 3, ¶ 3 ["The terms and amount of settlement regarding Willow are based upon successful attempts to negotiate the disputed amount of <u>damages associated with Willow's scope of work related to framing</u> by and through Mr. Kelly and Ms. Shambaugh for their respective clients [Verif. Kelly]." (Emphasis added.)]].) The Applicants recognize that Willow Creek has an express contractual indemnity obligation to CBC for claims "arising out of or resulting from" Willow Creek's performance of the work under its subcontract, "provided that" the claims are "attributable to" a breach of that agreement, and excepting from the contractual indemnity damage, injury to property, or loss that arises from the "sole negligence or willful misconduct" of CBC. (CBC-Willow Contract ¶ 13 quoted at App. p. 4, ll. 1-3, 11-13.) (*See also* Civ. Code § 2782.)

CBC's motion asserts a number of grounds that it contends warrant denial of a good faith settlement determination.

A. <u>Lack of Due Process for Micor and Bay Valley</u>

CBC claims that cross-defendants Micor and Bay Valley have been denied due process because at the time the Application was filed, they had not appeared in the action. CBC, however, had served both Micor and Bay Valley with its cross-complaint before the Application was filed and before CBC filed its motion contesting the Application. (*See* POS on X-Compl. on Micor filed 7/17/2025; POS on X-Compl. on Bay Valley filed 7/30/2025.) CBC acknowledges Bay Valley had been served with the cross-complaint, but its answer was not due until September 23, 2025. (Ginn Decl. ¶

Applicants served their Application on both Micor and Bay Valley. (*See* POS filed 8/12/2025.) Further, though an order granting the Application was entered prematurely and later vacated, before the order was vacated, Applicants also served Micor and Bay Valley with notice of entry of the order granting the Application good faith determination. (*See* Not. of Entry of Order filed 9/8/2025.) CBC served Micor and Bay Valley with the notice that the order had been vacated. (*See* Not. of Entry of Order Vacating Order filed 9/10/2025.) Micor has not appeared, its default has been entered as of August 21, 2025, and though Ginn states in his declaration he had discussed vacating Micor's default before September 8, 2025 when CBC's motion was filed, the default stands and Micor has not appeared. (Ginn Decl. ¶ 11.) Bay Valley has answered the cross-complaint and been served with the supplemental pleadings on the Application and motion but has not attempted to appear on these matters.

Due process is served when a party has been given notice and an opportunity to be heard. (*Singer Co. v. Superior Court* (1986) 179 Cal.App.3d 875, 890.) (See also *Britz v. Dow Chemical Co.* (1999) 73 Cal.App.4th 177, 181 [citing *Singer*, stating due process requires a party be given notice and an opportunity to defend the party's interests]; *Antelope Valley Groundwater Cases* (2021) 62 Cal. App. 5th 992, 1057 [stating due process is a "flexible concept" requiring notice "reasonably calculated to apprise" the interested party of the pendency of the action" affecting the party's property interest and an opportunity to present objections].) The Court in *Singer* held that an "absent" tortfeasor has a financial stake in the fairness of a settlement, that tortfeasor is a likely defendant and has a property interest giving rise to a right to due process regarding the good faith settlement determination. (*Singer, supra,* 179 Cal.App.3d at 890-891.) *Singer* cited by CBC, however, is distinguishable on its facts in that the settlement for which a good faith determination was made occurred before the party seeking indemnity was served as a cross-defendant and before it filed its own cross-complaint for indemnity and contribution. (*Singer, supra,* 179 Cal.App.3d at 882.)

Further, the Court in *Singer* limited concerns regarding due process to a likely defendant with a "significant property right" such that the likely defendant faces the possibility of "substantial liability." (*Id.* at 892 [stating "There may well be circumstances in which a later-joined tortfeasor has such minimal connection to the underlying loss and thus such a limited exposure to liability that his ability to settle will not be impaired by his absence from a good faith hearing pursuant to section 877.6; such a remote tortfeasor need not be deemed a necessary party to the good faith determination."].) The Court in *Singer* held that if a joint tortfeasor is not a party to the action by complaint or cross-complaint when a good faith settlement determination is made regarding a settlement with another joint tortfeasor, the later added joint tortfeasor "has the right to challenge that finding once he has been brought into the litigation." (*Id.* at 881.) *Singer* does not hold that the Court cannot make a good faith settlement determination under Code of Civil Procedure §§ 877 and 877.6 until all potential defendants have appeared in the action; it merely preserves the right of later appearing joint tortfeasors who have a "significant property right" based on potential "substantial liability" to make a later challenge to the good faith settlement determination if the joint tortfeasor was not provided notice and an opportunity for hearing before its property interest was adversely affected.

Here, the "likely defendants" as described in *Singer* had been named and served with the cross-complaint, as well as with the Application and the proposed settlement and related notices. The lack of appearance by Micor and Bay Valley in the action does not preclude the Court from making a good faith determination regarding the settlement under the circumstances and the authorities discussed above. The Court does not need to determine whether Micor or Bay Valley retain any potential right to subsequently contest the Court's good faith determination made on the Application and motion unless and until either of those parties seeks to make such a challenge.

B. <u>CBC's Right to Pursue Express Contractual Indemnity Notwithstanding Good Faith Settlement Determination under Code of Civil Procedure § 877.6</u>

CBC also contests the Application based on Applicants' request that all claims for indemnity by CBC against Willow Creek be deemed barred by the good faith settlement determination, including CBC's claim for express contractual indemnity. CBC has submitted a copy of its subcontract with Willow Creek (Ginn Decl. Exh. D) which includes an express indemnification provision.

In *Bay Development, Ltd. v. Superior Court* (1990) 50 Cal.3d 1012, the California Supreme Court held that a good faith settlement determination under Code of Civil Procedure §§ 877 and 877.6 bars a claim for "implied contractual indemnity," "that is, on the theory that the settling defendant's obligation to indemnify should be inferred from some contractual relationship between the defendants," because "a claim based on an implied contractual indemnity theory is a form of equitable indemnity, and therefore such a claim is barred by a good faith settlement under section 877.6, subdivision (c)." (*Id.* at 1020.) In so holding, the Court distinguished claims for express contractual indemnity and reconfirmed the rule that, "when the settling defendant has previously entered into a contractual agreement to indemnity a nonsettling defendant, a settlement – even if made in good faith -- does not relief the settling defendant from performing the contractual indemnification obligations. [Citation omitted.]" (*Id.* at 1019.)

Applicants argue that because all their claims for "work associated with Willow as a subcontractor are totally resolved" (Appl. p. 5, ll. 7-8), CBC has no right to express indemnity from Willow Creek under its contractual indemnity provision. Applicants argue CBC cannot seek express indemnity from Willow Creek for attorneys' fees and costs "related to work of other unrelated to Willow issues," but the argument does not address CBC's right under its contractual indemnity provision with Willow Creek for indemnity for attorneys' fees and costs it has incurred related to Willow Creek's work or any other claims subject to the express indemnity provision.

The nature and extent of the costs or damages CBC may be able to recover against Willow Creek under its express contractual indemnity provision in the Willow Creek subcontract is beyond the scope of the issues the Court can determine on the Application in making or not making a good faith settlement determination under Code of Civil Procedure §§ 877 and 877.6. Under the applicable case law, uncontroverted by Applicants, such a determination does not extend to bar claims for express contractual indemnity. (*Bay Development, supra,* 50 Cal.3d at 1019; [good faith settlement "would not preclude an indemnity action based on an express indemnity agreement"]; *C. L. Peck Contractors v. Superior Court* (1984) 159 Cal. App. 3d 828, 834 [relying on *E.L. White, Inc. v. City of Huntington Beach* (1978) 21 Cal.3d 497, 506-508, distinguishing between implied indemnity and express contractual indemnity and explaining " ' an express indemnity clause is accorded a certain preemptive effect, displacing any implied rights which might otherwise arise within the scope of its operation' " such that the extent of a party's duty to indemnity another under an express contractual indemnity provision has to be determined under the contract and not based on equitable indemnity principles].) (*See also Willdan v. Sialic Contractors Corp* (2007) 158 Cal. App. 4th 47, 55 fn. 6 ["It is well established a good faith settlement 'would not preclude an indemnity action based on an express indemnity agreement.' [Citations omitted.]"].)

Applicants' supplemental opposition raises the contention that CBC may have been unlicensed when it contracted to for this project. The Court does not make any determination regarding CBC's license status or its impact on CBC's ability to pursue an express contractual indemnity (or other indemnity) claim. It is not clear that Business and Professions Code § 7031 and the authorities cited by Applicants bar an unlicensed contractor's right to either express contractual indemnity or equitable indemnity from another party, or the right to receive a credit for settlement proceeds paid by another party as a nonsettling party pursuant to Code of Civil Procedure § 877(a). (*See UDC-Universal Development, L.P. v. CH2M Hill* (2010) 181 Cal. App. 4th 10, 26 and fn. 5 [affirming judgment for contractor on indemnity cross-complaint, even assuming the contractor's class B license was insufficient for the work on the project, stating " '[C]auses of action that do not seek "the collection of compensation for the performance of any act or contract for which a license is required" are beyond the scope of Business and Professions Code section 7031.' (*Holland v. Morse Diesel Internat., Inc.* (2001) 86 Cal.App.4th 1443, 1451; *see also Davis Co. v. Superior Court, supra,* 1 Cal.App.3d at p. 159 [unlicensed subcontractor's breach of warranty claim against seller of defective materials not within language and purpose of contractor licensing statutes].)"].)

A challenge to the CBC cross-complaint is not before the Court on the Application and motion. The case authority cited above is clear that a good faith settlement determination under Code of Civil Procedure §§ 877 and 877.6 does not bar an express contractual indemnity claim, and that claim by CBC shall be preserved whether or not the Court grants the good faith determination. To the extent the Application seeks an order barring CBC from pursuing any claims against Willow Creek for express contractual indemnity based on the indemnity provision of CBC's subcontract with Willow Creek, the relief is improper and is **denied.** To the extent CBC's motion asks the Court to exclude CBC's express contractual indemnity claims against Willow Creek from any dismissal or bar from prosecution based on a good faith determination under Code of Civil Procedure §§ 877 and 877.6, that aspect of the motion is **granted.**

C. Burden of Proof on Good Faith Settlement Determination

Applicants were not required to address in detail the *Tech-Bilt* factors in their Application; a "barebones" application is sufficient, as the party objecting to the good faith determination bears the burden of proving the settlement does not meet the *Tech-Bilt* good faith standard. (*City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1261; *North County Contractor's Assn., supra,* 27 Cal.App.4th at 1090-1091.) (*See also Alcal Roofing & Insulation v. Superior Court* (1992) 8 Cal.App.4th 1121, 1129 ["At a minimum, a party seeking confirmation of a settlement must explain to the Court and to all other parties: who has settled with whom, the dollar amount of each settlement, if any settlement is allocated, how it is allocated between issues and/or parties, what nonmonetary consideration has been included, and how the parties to the settlement value the nonmonetary consideration."].)

"The burden is upon the party objecting to the proposed settlement to prove an absence of good faith. (§ 877.6.) The challenger must prove 'the settlement is so far "out of the ballpark" in relation to these factors as to be inconsistent with the equitable objectives of the statute.' [Citation omitted.]" (*North County Contractor's Assn. v. Touchstone Ins. Services* (1994) 27 Cal. App. 4th 1085, 1091 [quoting *Tech-Bilt, supra,* 38 Cal.3d at 499-500].) (*See also* Code Civ. Proc. § 877.6(d); *Tech-Bilt, supra,* 38 Cal.3d at 499-500 ["The party asserting the lack of good faith, who has the burden of proof on that issue (§ 877.6, subd. (d)), should be permitted to demonstrate, if he can, that the settlement is so far 'out of the ballpark' in relation to these factors as to be inconsistent with the equitable objectives of the statute. Such a demonstration would establish that the proposed settlement was not a 'settlement made in good faith' within the terms of section 877.6."]; *Greshko v. County of Los Angeles* (1987) 194 Cal.App.3d 822, 831 [same].) This assessment is made based on the facts available at the time the settlement is made. (*Tech-Bilt, supra,* 38 Cal. 3d at 499 ["[P]ractical considerations obviously require that the evaluation be made on the basis of information available at the time of settlement."].)

CBC cites *Mattco Forge, Inc. v. Arthur Young & Co.* (1995) 38 Cal.App.4th 1337, in which the Court did not make a finding of a good faith settlement where the settling party did not offer evidence of its proportionate liability, only questionable assumptions to support that the settlement amount was reasonable. (*Id.* at 1351.) In *Mattco Forge*, the party objecting to the good faith of the settlement presented an expert declaration addressing the settling party's failure to perform in accordance with the standard of care and why the conduct provided a basis for damages against the settling party. (*Id*. at 1345-1346.) In the face of the expert testimony demonstrating why the settlement did not reflect the settling party's potential liability and potential proportionate share of liability for the damages claimed, the party seeking the good faith determination did not present evidence to counter the objecting party's evidence and support that the settlement amount was within the reasonable range of the settling party's proportionate liability. (*Id*. at 1350-1352.) The Court of Appeal held the trial court's good faith determination was therefore not supported by substantial evidence.

Similarly, in *Greshko, supra*, also cited by CBC, the party objecting to the settlement submitted an expert declaration by an engineer regarding the intersection where the motor vehicle accident occurred, the subject of the action, and evidence regarding prior accident reports, as well as evidence from trial testimony by two experts supporting that the intersection was dangerous because of a lack of a left-turn pocket and that the dangerous condition caused the accident. In response to the expert testimony offered by the objecting party, the plaintiffs presented only a declaration by the plaintiffs' counsel explaining the motivations for the settlement and asserting his conclusion that the settling parties had no liability. The Court of Appeal reversed the trial court's order finding the settlement was in good faith, concluding that the order was improperly based on the trial court's acceptance of plaintiffs' counsel's unsupported conclusion of no liability, which was not supported by substantial evidence, and improper rejection of the expert evidence supporting the objections, which was substantial evidence. (*Greshko, supra,* 194 Cal.App.3d at 834-836.)

The Application generally covers the "barebones," minimum requirements for an application for a good faith settlement determination summarized in the *Alcal* decision. There is no allocation of the settlement proceeds made in the settlement, so allocation is not addressed in the Application. The Court considers the deficiencies in evaluating whether CBC has met its burden of proof that a good faith determination should not be granted.

D. *Tech-Bilt* Factors

1. Amount Paid in Settlement

The amount of the settlement payment ($85,000) is clear under the settlement. The settlement indicates that amount should have been paid within 30 days after full execution of the agreement.

The agreement appears to have been fully executed on February 25, 2025. (App. Exh. A.)

2. Financial Condition and Insurance Policy Limits of Settling Defendant

The Applicants have offered some evidence in the Kelly and Shambaugh opposition declarations that CBC's insurer "denied coverage." (Kelly Decl. Exh. 3 and Shambaugh Decl. Exh. A.) The email they rely on for that proposition states that the prior counsel representing CBC would no longer be involved on the "carrier's directive," but does not expressly state any reason. (*Id.*) That CBC's insurance carrier may have denied coverage does not address Willow Creek's insurance coverage. There is also no evidence before the Court of Willow Creek's financial condition and ability to respond to a monetary judgment independent of any insurance coverage. Nevertheless, CBC does not argue that the financial condition of Willow Creek or its insurance coverage is relevant to the good faith determination in this case.

3. Evidence of Collusion Aimed to Injure the Interests of the Nonsettling Defendants

CBC identifies four facts which it contends supports a finding the Willow Creek settlement was collusive. First, it notes that Willow Creek is now being represented by the same counsel as the Plaintiffs. This representation is consistent with the settlement term that obligates Plaintiffs to defend and indemnity Willow Creek from claims related to the Project, including by CBC, though it does raise some questions about potential conflicts under the circumstances.

The fact Applicants filed the Application before two other subcontractors named by CBC as cross-defendants have appeared in the action does not necessarily show collusion either for the reasons addressed above regarding the due process contention. Both Bay Valley and Micor were served with the Application and related notices. The Ginn Declaration filed with CBC's motion on September 8, 2025 indicated that Bay Valley was being served by publication and its answer was due September 23, 2025, after the Application and motion were filed, and that prior to September 8, 2025 when the CBC motion was filed, counsel for CBC had had discussions with Micor's counsel regarding vacating Micor's default which was entered on August 21, 2025. (Ginn Decl. ¶¶ 11, 12.) The Court does not find that the timing of the Application based on the record, including the service of the Application Micor and Bay Valley, indicates some effort to conceal the Application from them or deny them an opportunity to participate in the good faith determination.

Third, CBC points to Plaintiffs' failure to respond to CBC's pending discovery before CBC had to file its motion contesting the application. Any concerns regarding Applicants' timing in filing their Application for good faith settlement determination or postponement of the response date for the discovery, however, has been addressed by the continuance of the original hearing date and allowing the parties for file supplemental briefing as set forth above.

Fourth, CBC points to the terms of the Willow Creek settlement itself. In particular, CBC points to the fact Plaintiffs obligated themselves to indemnify Willow Creek under Willow Creek's express contractual indemnity in favor of CBC, and implicitly, their attempt to have the Court dismiss the express contractual indemnity cause of action despite case law precluding such a dismissal based on a good faith settlement determination. The indemnity provision in the settlement puts Plaintiffs and their counsel in an unusual position of defending the express indemnity cause of action of the cross-complaint for Willow Creek while apparently still alleging and pursuing damages for defective construction for foundation and framing-related work based on the allegations of their Complaint filed after the settlement and their damage summary in their written discovery responses. Nevertheless, the Court does not find the indemnity provision supports an inference of collusion between Plaintiffs and Willow Creek rather than an arms' length settlement. (*See, e.g., Everman v. Superior Court* (1992) 8 Cal.App.4th 466, 470-473.)

4. Approximation of Plaintiff's Total Recovery, Settlor's Proportionate Liability, Allocation of Settlement Proceeds and Settlement in the "Ball Park"

"A necessary corollary to the definition of good faith in *Tech-Bilt* is that the trial court's consideration of the settlement agreement and its relationship to the entire litigation in a contested setting must proceed upon a sufficient evidentiary basis to enable the court to consider and evaluate the various aspects of the settlement. [Citations omitted.] Because *Tech-Bilt* mandates a rough approximation of the settling defendant's proportionate liability and consideration of all other defendants' proportionate liability and consideration of all other factors that might affect the fairness of the settlement as respects nonsettling defendants, the affidavits, declarations or other evidence should provide the court with the facts necessary to evaluate the settlement in terms of the factors contemplated by *Tech-Bilt*. Without the facts, in a contested hearing, it is impossible for a court to exercise its discretion in an appropriate fashion. [Citation omitted.]" (*City of Grand Terrace, supra,* 192 Cal. App. 3d at 1263.)

"A determination as to the good faith of a settlement, within the meaning of section 877.6, necessarily requires the trial court to examine and weigh a number of relevant factors, *one of the most important of which is the settling party's proportionate liability*." (*Mattco Forge, Inc. v. Arthur Young & Co.* (1995) 38 Cal.App.4th 1337, 1350 [italics in original].) "If 'there is no substantial evidence to support a critical assumption as to the nature and extent of a settling defendant's liability, *then a determination of good faith based upon such assumption is an abuse of discretion*.' [Citation omitted.]" (*Id.* [italics in original].)

"Under California law, when one of a number of tort defendants enters into a settlement agreement with a plaintiff, the nonsettling defendants' liability to the plaintiff is reduced by the amount of the settlement. (Code Civ. Proc., § 877, subd. (a).)" (*Bay Development, supra,* 50 Cal.3d at 1018.) The statute provides in pertinent part that "[w]here a release . . . is given in good faith before verdict or judgment to one or more of a number of tortfeasors claimed to be liable for the same tort . . . it shall have the following effect: [¶] (a) It shall not discharge any other such party from liability unless its terms so provide, <u>but it shall reduce the claims against the others in the amount stipulated by the release</u>, the dismissal or the covenant, <u>or in the amount of the consideration paid for it, whichever is the greater</u>." (Code Civ. Proc. § 877(a) [emphasis added].)

The language of the *Tech-Bilt* decision refers to the allocation of settlement proceeds among plaintiffs, but subsequent case law applying the factors in that case in the construction defect context, including the cases cited above, hold that this factor also should consider how the settlement amount is allocated to different components of the damages claimed by the plaintiff in cases in a multiparty construction case. (*See Alcal Roofing, supra,* 8 Cal.App.4th 1121, 1122.) CBC argues that the settlement fails to allocate the settlement amount between the framing work and foundation work performed by Willow Creek.

Assessment of Willow Creeks "proportionate liability" as the settling party based on the totality of

Plaintiffs' claim, allocation of the settlement proceeds, and whether the settlement amount is in the "ballpark" of the settling party's potential liability are interrelated for purposes of evaluating the good faith of the settlement. The Willow Creek settlement predated the filing of Plaintiffs' complaint, and despite a release of Willow Creek as the subcontractor who performed framing and foundation work, Plaintiffs continue to assert framing and foundation defects as part of their claim for $172,000 in damages in the Complaint. (Compl. ¶¶ 12, 16.) There is no dollar breakdown of the damage claims in the Complaint.

a. Contesting Party's Evidence

CBC has presented evidence that (a) Plaintiffs continue to assert claims for defective framing in their Complaint despite their pre-litigation settlement that allegedly encompassed all the framing defects; (b) Willow Creek's subcontract included foundation work; (c) Plaintiffs have alleged construction defects related to the foundation in the Complaint; and (d) the Applicants in their initial opposition repeatedly state that the settlement negotiated with Willow Creek took into account and allegedly resolved only construction defects related to framing, and not the defects in the foundation work for which Willow Creek was engaged and performed. (*See* Compl. ¶¶ 12 and 16; Ginn Decl. ¶ 5 and Exh. D; Opp. p. 3, l. 1-2 citing Kelly Decl. Exh. 2; Opp. p. 3, ll. 11-14, p. 5, ll. 1-3, ll. 5-6, and ll. 26-27, and p. 6, ll. 2-4.)

Plaintiffs' discovery responses which include an itemization of damages (roughly $135,000) are addressed at length in the CBC reply. CBC, however, argues that the specific types of damages identified by Plaintiffs in their discovery responses show that approximately 82% of the damages (approximately $110,000) are attributable to work performed by Willow Creek. (Buchanan Reply Decl. Exh. B [Resp. to Form Interrogs. No. 305.3]; C. Begg Decl. ¶ 2.) CBC argues that the settlement amount therefore is less than Willow Creek's proportionate liability, presumably because based on the discovery, Willow Creek may be responsible for approximately 82% of Plaintiffs' total damages. (Buchanan Reply Decl. Exh. B [Resp. to Form Interrogs. No. 305.3]; C. Begg Decl. ¶ 2.) Defendant Begg's calculation that $110,000 in items listed in the interrogatory responses that he states are within the scope of work of Willow Creek under its subcontract, and CBC's reference in its initial opposition to the $172,000 in damages claimed in the Complaint is the only evidence CBC offers to contest the Willow Creek settlement as disproportionate to Willow Creek's potential liability.

b. Plaintiffs' Evidence and Supplemental Argument

Plaintiffs have pointed to the amount Willow Creek was to be paid for its work on the project under its subcontract with CBC, the sum of approximately $140,000 total, as some evidence of the proportionality and the reasonableness of the settlement dollar amount. The amount Willow Creek was paid for its work and does not necessarily reflect the damages Plaintiffs may have sustained from any defective work.

Applicants offer the expert Fragoso whose declaration was filed in support of their opposition. He asserts, "The $85,000 settlement among Blaine Mervin Munsch dba Willow Creek Construction and the Carrillos was an amount commensurate with the framing subcontract price and represented a fair and equitable resolution related to the cost of work performed and cost of work to correct non-conforming aspects of the work of Blaine Mervin Munsch dba Willow Creek Construction." (Fragoso Decl. ¶ 5 [emphasis added].) The reference to "framing subcontract price" makes the expert's declaration ambiguous as to whether the expert considered the cost to correct any defective work by Willow Creek related to the foundation, which now appears to represent the vast majority of the damages Plaintiffs are claiming in the litigation.

The Application represents that "[a]ll of the work associated with Willow as a subcontractor are totally resolved and any claims of the Carrillo's as against CBC related to framing are gone, there is a credit to CBC." (Appl. p. 5, ll. 7-9 [emphasis added].) The statement on one hand indicates "all work" done by Willow Creek is covered by the release of claims in the settlement but then states the Plaintiffs' claims for "framing" are "gone," though Willow Creek's work encompassed both framing and foundation work. The Court asked the parties to address this ambiguity in their supplemental briefs. The Court requested clarification of Applicants' position in their supplemental opposition.

Applicants' supplemental opposition addresses the issue briefly without reference to Willow Creeks' foundation work specifically, stating that "the Settlement and Release agreement clearly identifies a numerical sum paid in consideration for *release of all claims* associated with Willow's scope of work." (Appl. Suppl. Opp. p. 3, ll. 1-3 [italics in original].) They also state, however, that "IF, assuming arguendo, 80+ percent is the actual responsibility of Willow, then per *Tech-Bilt, Inc.,* if the claims of CBC have viability [presumably indemnity claims against Willow Creek], then CBC [and other subs] get a credit for 80+ 'work of Willow' having been settled. . . . [¶] Per *Tech-Bilt, Inc.*, to the extent CBC has a viable cross-claim . . ., it [and other subs] get a credit to reduce the claims against the others in the amount *and all of the work of Willow* stipulated by the release." (Suppl. Opp. p. 3, ll. 8-14 [italics in original, underscoring added].)

While Applicants' supplemental briefing did not address any allocation or clearly explain the references to "framing" in the initial opposition when the subcontract covers foundation as well, they do explain Willow Creek settlement resolves Plaintiffs' right to make claims against Willow Creek for any of its work and that the release covers all of Willow Creek's work on the project. Plaintiffs also acknowledge they cannot obtain a double recovery from both Willow Creek and CBC (or other subcontractors). (*See, e.g.,* Civ. Code § 877(a); *Reed v. Wilson* (1999) 73 Cal. App. 4th 439, 443-444 ["Sections 877 and 877.6 are designed to promote the equitable sharing of costs among the parties at fault, and to encourage settlement. [Citations omitted.] In addition, the offset provided for in section 877 assures that a plaintiff will not be enriched unjustly by a double recovery, collecting part of his total claim from one joint tortfeasor and all of his claim from another. [Citation omitted.]"].) It is not clear that CBC's right to a credit against Plaintiffs' damages from construction defects on the project is dependent on CBC's right to indemnity as stated in Applicants' supplemental opposition, rather than on the law which prevents a double recovery.

c. Court's Assessment of Proportionality and Settlement in the "Ballpark"

The good faith determination under *Tech-Bilt* requires "a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability," meaning the proportionate liability Willow Creek bears based on alleged defects in its work in relation to the total damages claimed by the Plaintiffs. (*Tech-Bilt, supra*, 38 Cal.3d at 499.) "In determining a settling defendant's equitable proportionate share of liability, the judge does not look to the plaintiff's claim for damages; rather the judge tries to determine a 'rough approximation' of what the plaintiff would actually recover if the case should go to trial. [Citation omitted.]" (*Horton v. Superior Court* (1987) 194 Cal. App. 3d 727, 735.) Once that proportionate liability is assessed, then the Court assesses whether the settlement amount is in the "ballpark" of the settlor's proportionate liability. A settlement lacks good faith if the settlement is " 'grossly disproportionate to what a reasonable person at the time of settlement would estimate the settling defendant's liability to be.' [Citation omitted.]" (*Id.*) The Court is also guided by *Tech-Bilt*'s recognition that the good faith statute is ground in equitable policies of encouraging settlement. (*Id.* at 498-499.)

Despite the references in Plaintiffs' Application and opposition to the $85,000 settlement resolving "framing" defects, the effect of the settlement is to bar any direct claim by Plaintiffs against Willow Creek for all of its work. A good faith determination by the Court would also bar equitable indemnity and contribution claims by CBC or the other subcontractors for damages attributable to Willow Creek's defective work, but not CBC's express contractual indemnity rights. While CBC argues there is a lack of allocation of the settlement to components of the damages, there is in effect an allocation in that the Willow Creek settlement effectively precludes claims against Willow Creek for the framing and foundation work within the scope of its subcontract, other than the express contractual indemnity claim.

Accepting CBC's evidence of the $110,000 in damages itemized by Plaintiffs in their discovery responses as attributable to Willow Creek's scope of work, CBC argues Willow Creek's proportionate liability is 82% of the damages Plaintiffs have identified to date. If the $110,000 is measured against the $172,000 in damages alleged in the Complaint, the percentage is lower, roughly 64%. The $85,000 settlement amount paid by Willow Creek is roughly 49% of the total damages alleged in the Complaint, and roughly 63% of the total damages itemized in Plaintiffs' interrogatory responses. It is also approximately 77% of the $110,000 in damages attributed to Willow Creek's scope of work in Plaintiffs' damages itemized in their discovery responses.

Under any of these approximations, the settlement amount of $85,000 by the framing and foundation subcontractor does not seem to be so far out of the "ball park" as to not be considered a good faith settlement. The cases cited by CBC regarding the requirement for allocation of settlement proceeds to components of damages in a multi-party construction defect case arise in a distinguishable factual context. In both *Alcal Roofing* and *L.C. Rudd & Son,* the settling parties were the general contractor or developers, the party with liability for the project defects as a whole, and the objecting party was a subcontractor who objected to the allocation of the proceeds as the subcontractors contended the allocation was grossly disproportionate to the subcontractor's potential liability for the construction defects. (*See Alcal Roofing* 8 Cal.App.4th at 1122 [reversing trial court order approving good faith settlement with developer and subcontractors which allocated only $100,000 of a $4.4 million dollar settlement to roofing issues and where the nonsettling roofer was left exposed to a $2 million claim for roofing defects but would have received only a $100,000 offset for those defects]; *L.C. Rudd & Son v. Superior Court* (1997) 52 Cal.App.4th 742, 750-753 [reversing order finding plaintiff's settlement with developers to be in good faith based on the parties' allocation of a small portion of the cash settlement as a credit ($15,000) to nonsettling parties, despite the fact the special master estimated the soils and foundation issues represented between 55 and 61 percent of the total cost of repair, such that the allocation should have been at least $41,250 of the $75,000 cash settlement].)

It is not clear to the Court that a settlement by the owner with one subcontractor that is not allocated to the specific components of that subcontractor's work is subject to the same allocation concerns as a settlement by the general contractor and developer that resolves the general contractor's or developer's overall liability for construction defects on the project, particularly in this case where CBC's express contractual indemnity rights are retained. CBC has not cited cases addressing this circumstance, in which a court has held a good faith settlement determination should be denied on an objection by a general contractor for lack of allocation of the subcontractor's settlement.

The *Tech-Bilt* decision expressly recognizes that a party who settles should pay less in settlement than the party's potential liability if the case were litigated through trial. CBC has not demonstrated that the $85,000 paid in settlement by Willow Creek, representing somewhere between 49% and 63% of the total damages claimed by Plaintiffs, is "grossly disproportionate" to a reasonable estimate of Willow Creek's potential liability at the time of the settlement, which was made prior to the commencement of litigation. It was CBC's burden to prove the settlement is "grossly disproportionate" and so far out of the ballpark that the good faith determination should be denied, and the Court does not fine CBC has met that burden. Further, despite the settlement, CBC retains its express contractual indemnity claims against Willow Creek.

The Court finds that the Willow Creek settlement is a good faith settlement.

12. 9:00 AM CASE NUMBER: C25-01418
CASE NAME: LAUREL EVANS VS. ABE WORTMAN
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: NUNEZ, CAITLIN CAPPA
TENTATIVE RULING:*

Defendant Caitlin Cappa Nunez ("Defendant") brings the instant demurrer to the complaint of plaintiff Laurel Evans ("Plaintiff"). Defendant argues that that Plaintiff has failed to plead sufficient facts to support any of their causes of action against Defendant. (Notice of Demurrer, p. 2.) Defendant asks the Court to sustain their demurrer without leave to amend, or, in the alternative, compel arbitration and stay this action pending the arbitration proceedings. (Demurrer MPA, p. 17.)

For the reasons discussed below, the Court declines to rule on the request for arbitration and sustains Defendant's demurrer to the second (fraud), third (negligent misrepresentation), and seventh (UCL) causes of action, with leave to amend. The Court overrules Defendant's demurrer with respect to the fifth and sixth causes of action for declaratory relief, and with respect to Defendant's arguments relating to alter ego and the economic loss rule. Plaintiff may file and serve an amended complaint within 10 days of entry of this order. (Code Civ. Proc., §472b; California Rules of Court, rule 3.1320(g).)

Meet and Confer

The meet and confer requirement has been satisfied. (Jason S. Takenouchi Decl., ¶¶ 1-5; Code Civ Proc., § 430.41.)

Legal Standard for Demurrer

In ruling on a demurrer, a court must treat as true all properly pleaded material facts contained in the complaint, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39